

Contribution to FDI

The digital economy and ICT sector have emerged as one of the fastest-growing contributors to foreign direct investment in ASEAN, reflecting the region's accelerating digital transformation. Although its absolute share remains smaller than traditional sectors, ICT accounted for approximately **5% of total FDI inflows in 2024**, while recording the strongest growth among all sectors. This rapid expansion highlights its increasing strategic importance within the broader investment landscape.

The sector plays a central enabling role across industries. Investment in ICT infrastructure, including data centres, cloud

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investments are directed at data processing, artificial intelligence, and communication networks, reinforcing the region's position as a digital hub.

As a result, ICT and digital economy investments are not only contributing directly to FDI inflows but also transforming ASEAN's economic structure, enabling higher-value activities and supporting long-term competitiveness across multiple sectors.

Current Trend

The digital economy and ICT sector in ASEAN is experiencing unprecedented expansion, driven by strong demand for digital infrastructure and services. In 2024, ICT investment recorded a remarkable growth rate of approximately **255.1%**, making it the fastest-growing FDI sector in the region, despite representing around 5% of total inflows. This surge reflects a structural shift toward digitalisation across industries and economies.

A key trend is the rapid growth of data centres, cloud computing, and digital platforms. Large-scale investments are being made to support increasing demand for digital services, including e-commerce, financial technology, and online platforms. These developments are closely linked to the expansion of digital infrastructure across ASEAN Member States.

Another notable trend is the integration of ICT with other sectors. Digital technologies are increasingly embedded in manufacturing, logistics, and services, enhancing efficiency and enabling new business models. This convergence reflects the growing importance of digital connectivity and data-driven operations.

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Several key factors drive foreign direct investment in the digital economy and ICT sector in ASEAN. One of the most significant is the rapid expansion of digital adoption across the region. Increasing internet penetration, mobile connectivity, and digital service usage are creating a large and dynamic market for digital products and services.

Government policies are a major driver. ASEAN Member States have introduced comprehensive digital strategies, including initiatives focused on artificial intelligence, e-government, and digital infrastructure development. At the regional level, the digital economy is projected to reach **$2 trillion by 2030**, providing a strong incentive for long-term investment in ICT infrastructure and services.

Another important factor is the integration of digital technologies into traditional industries. Sectors such as manufacturing, finance, and retail increasingly rely on ICT solutions to improve efficiency, productivity, and competitiveness. This cross-sector demand drives investment in enabling technologies such as cloud computing and data analytics.

In addition, the presence of major multinational enterprises and growing startup ecosystems further supports investment. Funding initiatives, innovation hubs, and digital platforms across ASEAN create opportunities for both foreign and domestic investors, strengthening the overall digital investment environment.

Outlook

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infrastructure, and digital platforms. Companies are expected to increase investment to support e-commerce, financial technology, and digital service delivery across the region.

In the medium to long term, the sector's development will be shaped by emerging technologies such as artificial intelligence, cybersecurity, and advanced data analytics. These technologies will enhance productivity and create new opportunities for innovation and investment. The projected growth of the digital economy toward the **$2 trillion target by 2030** reinforces strong long-term prospects for sustained FDI inflows.

However, challenges remain, including digital infrastructure gaps, cybersecurity risks, and the need for skilled talent. Addressing these issues will be critical to sustaining growth. Overall, the digital economy and ICT sector will play a transformative role in ASEAN's investment landscape and economic development.

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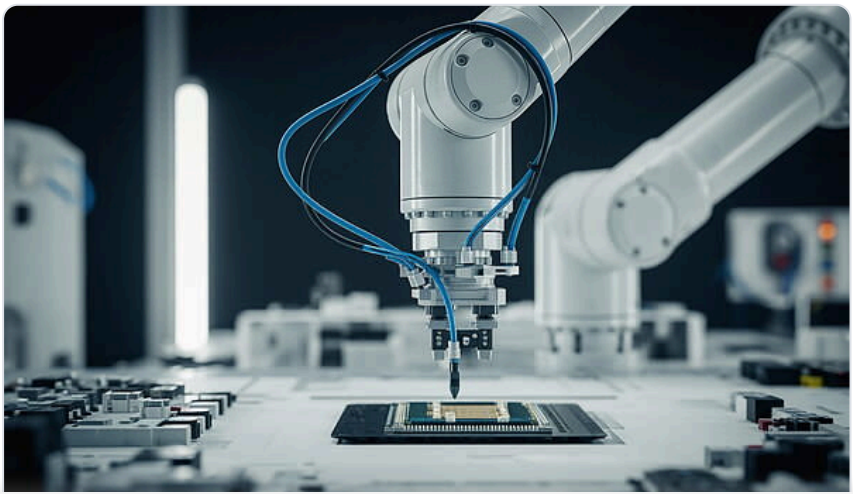
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THE ASEAN SECRETARIAT

70A Jalan Sisingamangaraja
Jakarta 12110, Indonesia
Tel : (6221) 7262991, 7243372

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